

dotting India's cities. The company has also been making losses ever since it entered India. Add to that the fact that India has the lowest per capita income of all markets IKEA is present in, and you begin to get the scale of the challenge the company faces.

IKEA'S FIRST INDIA store came up in Hyderabad in August 2018, but its India plan began to unfold seven months later. On March 4, 2019, IKEA India's board of directors gathered for an extraordinary general meeting at its registered office in DLF Tower-A at South East Delhi's Jasola District Centre. As the government prepared to relax local sourcing norms for overseas single-brand retailers, the board decided to raise four-fold the company's authorised share capital, the maximum amount allowed to be raised legally through a share issue—from ₹2,655 crore to ₹10,000 crore. The move was crucial. Since its incorporation in August, 2013, IKEA India had sucked in funds from its Netherlands-based parent for expansion through every possible avenue it had. However, for further capital through equity infusion, raising the authorised share capital was imperative.

That move was a vote of confidence in the Indian market's growth opportunity. As per IHS Markit, in 2019, per capita consumption of furniture in India stood at \$5 (₹400) while in IKEA's two largest markets—the US and Germany—the figures were \$733 and \$661, respectively. Industry veteran Swapneel Nagarkar, Senior Vice President & Business Head at Godrej Interio, estimates the overall furniture market in India at \$16 billion (₹1.3 lakh crore), and poised to double by 2027. The



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“It’s a big, big country and we have just started to enter [India]. There is so much to do. [And India is] a very important growth market for IKEA”

SUSANNE PULVERER

**CEO AND CHIEF SUSTAINABILITY OFFICER,
IKEA INDIA**

PRIMED FOR GROWTH

- 1 **IKEA is bullish about growth in India amid slowing western economies**
- 2 **It is ramping up store expansion with big-ticket investments targeted at millions of Indian millennials**
- 3 **A fast-growing furniture market and investments by branded players have led to growing interest among consumers**
- 4 **Local players—both branded and unbranded—remain IKEA's biggest hurdles**
- 5 **The Swedish home furnishings giant has changed its go-to-market strategy with a 'closer to the customer' approach and increasing local sourcing**